10.1 Hypothesis Testing - Null and Alternative Hypothesis

1. The two hypothesis

	Null hypothesis H_0	Alternative hypothesis H_a (or H_1)
What it is	The **status quo**: the currently accepted value or claim	The **challenger**: what the researcher is trying to show
Sign	Contains the **equality**: $=, \leq, \geq$	**Strict** inequality: $\neq, <, >$

The researcher tries to gather enough evidence to **reject** H_0 in favor of H_a.

> **Careful wording:** if the evidence isn't strong enough, we **fail to reject** H_0. That doesn't prove H_0 is true, or even that it is "likely" true. It only means the data didn't rule it out.

→ It means bases on the evidence, we are NOT Able to prove H_0 is not true.

2. Steps

1. **Mean or proportion?**
   - "average", "mean" → population mean μ (sample $\bar{x}$, population μ)
   - "percent", "proportion", "fraction" → population proportion p, written as a decimal (80% → 0.80) ($\frac{x}{n}$)
2. **Find the accepted value** (the status quo) and write H_0 with the equality. $=, \leq, \geq$
3. **Find what the researcher suspects** and write H_a with the strict inequality. Together, H_0 and H_a cover every possibility.

Wording	H_0	H_a
"is different from", "is not"	$=$	$\neq$
"at least", "no less than"	$\geq$	$<$
"at most", "no more than"	$\leq$	$>$

3. Why the Signs go this Way

1. H_0 gets the equality because the math needs one exact number. A test starts by assuming H_0 is true, then asks: "If that were true, how surprising is my sample?" To measure "how surprising" you need one specific value to plug into the formula.

- $\mu = 10$ gives you 10, so you can calculate. Ha Ho Ha ✓ correct
- $\mu < 10$ doesn't. Is it 9.9? 7? 2? You can't compute anything from that. Ho Ha ✗ not right → Ho Ha

So the exact number (the equality) always lives in H_0. Even when H_0 is $\geq$ or $\leq$, the calculation uses the boundary value, the "=" part.

2. H_0 gets the benefit of the doubt. Think of a courtroom:

- H_0 = **innocent** (the default, believed until proven otherwise)
- H_a = **guilty** (what the prosecutor has to prove)

The researcher is the prosecutor. The burden of proof is on H_a, so H_a gets the strict claim ($\neq, <, >$) ← strict claim

3. Together they cover every possibility, with no overlap. That's why they come in fixed pairs:

H_0	H_a	Together
$=$	$\neq$	equal or not equal → everything
$\geq$	$<$	at least, or below → everything
$\leq$	$>$	at most, or above → everything

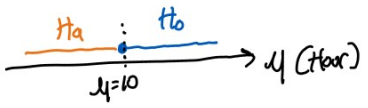
Ha Ho Ha

Ha Ho

Ho Ha

Example. A company says its battery lasts **at least 10 hours**. You suspect it's less.

$$H_0 : \mu \geq 10 \qquad H_a : \mu < 10$$



H_0 is the company's claim (status quo, includes the "="). H_a is your suspicion (strict).

4. What "Fail to Reject" Means

"Fail to reject H_0" = "not enough evidence to say H_0 is wrong." It does NOT mean "H_0 is right."

- **Courtroom:** the jury says "not guilty", never "innocent". Maybe the person really is innocent, or maybe the prosecutor just didn't have enough evidence. The verdict only says the case wasn't proven.
- **Lost keys:** you search your room for 30 seconds and don't find your keys. That doesn't prove they aren't there. You just didn't find them. Maybe you didn't look long enough, which in statistics is like having too small a sample.
- **Battery:** you test 5 batteries and get an average of 9.8 hours. That's a bit below 10, but with only 5 batteries it could easily be random luck. So you fail to reject H_0. You haven't proven the batteries last 10+ hours. You just can't call the company a liar yet.

Decision	Meaning
Reject H_0	Strong evidence. H_0 looks wrong, so we side with H_a.
Fail to reject H_0	Not enough evidence. We can't say H_0 is wrong. (Never say "accept H_0".)

This is important

5. Only Two Decision : Reject or Fail to Reject

There are only **two** possible decisions about H_0. "Accept H_0" is **not** a third option; it's just a wrong way of saying "fail to reject". A test can only collect evidence **against** H_0, never evidence **for** it.

So usually we dont say Accept H_0

The courtroom has the same two verdicts:

- **Guilty** = reject H_0
- **Not guilty** = fail to reject H_0

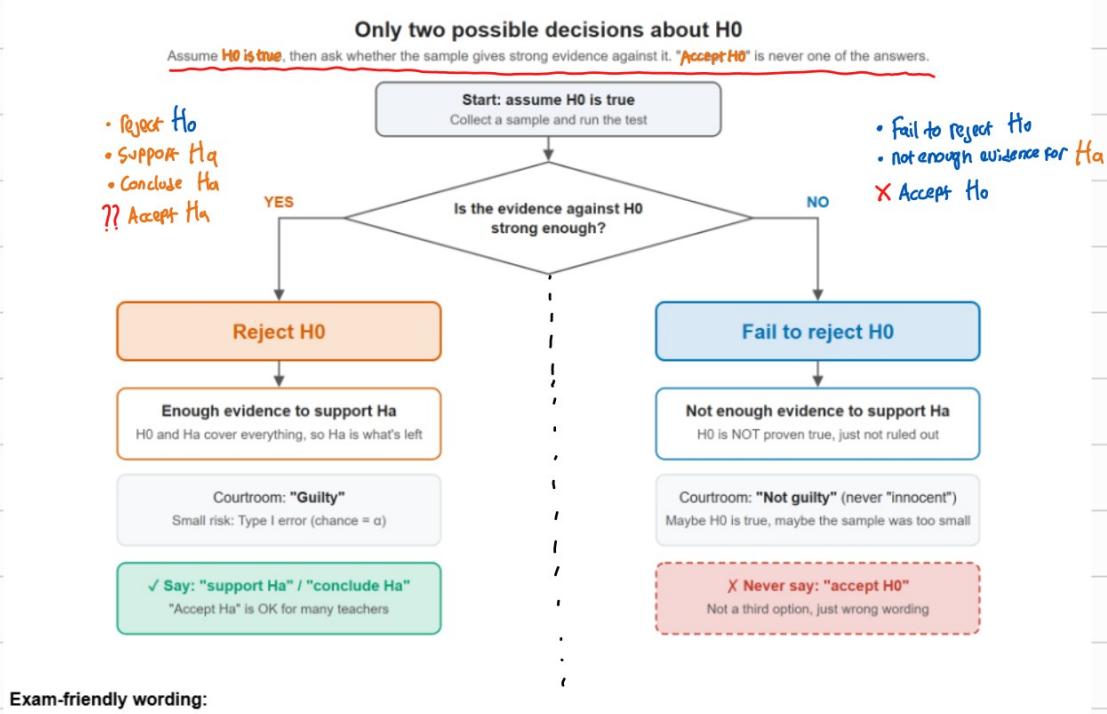
There's no "innocent" verdict, just as there's no "accept H_0".

Reject H_0 means you support H_a. H_0 and H_a cover every possibility with no overlap. If you have strong evidence that H_0 is wrong, the only option left is H_a. It doesn't work the other way: failing to reject H_0 says nothing in favor of H_0.

Decision	What you can say about H_a
Reject H_0	Enough evidence to support H_a
Fail to reject H_0	Not enough evidence to support H_a (and H_0 is not proven true) → Basically its not say Accept H_0

> **Small caution:** "support H_a" or "conclude H_a" is safer wording than "accept H_a", because rejecting H_0 isn't 100% proof. There's a small chance you rejected H_0 when it was actually true. That's a **Type I error**, and its chance is α (for example 5%). See Lesson 10.2.

False Positive



- Reject H_0
- Support H_a
- Conclude H_a
?? Accept H_a

- Fail to reject H_0
- not enough evidence for H_a

✗ Accept H_0

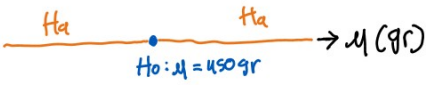
Exam-friendly wording:

- ✅ "Reject H_0. There is sufficient evidence to support the claim that $\mu < 10$."
- ✅ "Fail to reject H_0. There is not enough evidence to support the claim that $\mu < 10$."
- ❌ "Accept H_0." (Some older textbooks use it, but most teachers mark it wrong.)

6. Examples

1. Calculator mass. Company XYZ's calculators average **450 g**. An engineer thinks the average is different and weighs 50 calculators.

$$H_0 : \mu = 450 \qquad H_a : \mu \neq 450$$



("Average" means a mean.)

2. Graduation rate. Teachers believe **at least 80%** of students graduate. A student disagrees.

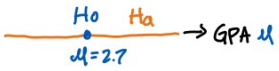
$$H_0 : p \geq 0.80 \qquad H_a : p < 0.80$$



("Percent" means a proportion. "At least 80%" means 80% or more.)

3. GPA. A teacher wants to test whether the mean GPA is **different from 2.7**. Here it is easier to start with H_a, the teacher's claim.

$$H_0 : \mu = 2.7 \qquad H_a : \mu \neq 2.7$$



4. Vehicle ownership. The share of residents who own a vehicle is **no more than 75%**. A researcher disagrees and surveys 100 residents.

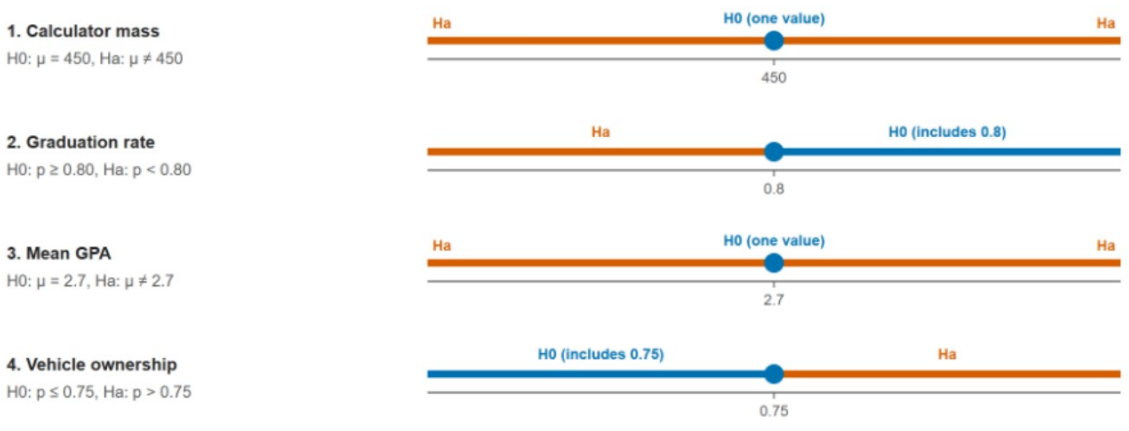
$$H_0 : p \leq 0.75 \qquad H_a : p > 0.75$$



("No more than" means ≤. Surveying 100 residents gives the sample size, which is not part of either hypothesis.)

H0 and Ha split the possible values of the parameter

Blue = values allowed by H0 (it always includes the equality). Orange = values claimed by Ha.



H0 and Ha always cover every possible value between them. H0 holds the boundary value (the equality). With "≠", H0 is a single point and Ha is everything else.

7. Key Takeaways

- H_0 = status quo with the equality ($=, \leq, \geq$). H_a = the claim being tested, with a strict sign ($\neq, <, >$).
- Hypotheses are about **population parameters** (μ or p), never about sample values like $\bar{x}$ or $\hat{p}$. ← This is important
- Translate the wording carefully: "at least" → $\geq$, "no more than" → $\leq$, "different" → $\neq$.
- H_0 holds the equality because the test needs one exact value to calculate with, and H_0 gets the benefit of the doubt (like "innocent until proven guilty"). → if doubt then fail to reject H_0
- "**Fail to reject H_0**" means "**not proven wrong**", not "**proven right**". ✗ wrong wording. Never say "**accept H_0**". ✗
- Only two decisions exist: **reject H_0** (→ support H_a) or **fail to reject H_0** (→ not enough evidence for H_a).

10.2 How to Identify Type I ans Type II Errors

1. Definitions

Error	What happens	Probability
Type I	**Reject** H_0 when H_0 is actually **true**	α (the significance level)
Type II	**Fail to reject** H_0 when H_0 is actually **false**	β
(correct) Power	Reject H_0 when it is false	$1-\beta$, the **power of the test**

It is also called False Positive (FP)

it is also called False Negative (FN)

2. Decision Table

		Actual Negative H_0 **is true**	Actual Positive H_0 **is false**
Predicts Positive	Reject H_0	✗ **Type I error** (α)	✓ Correct (power $= 1-\beta$)
Predicts Negative	**Fail to reject** H_0	✓ Correct	✗ **Type II error** (β)

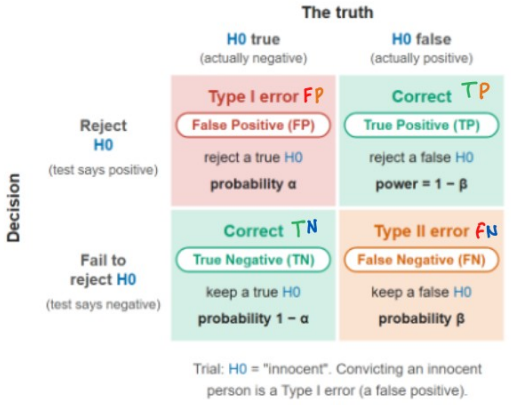
Positive → Ha

Negative → Ho

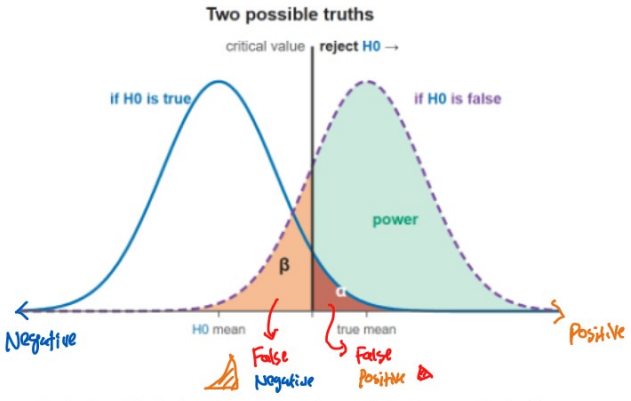
We can't control whether H_0 is true. We only control the decision. (The video sometimes says "accept H_0"; the standard wording is "**fail to reject** H_0".)

Type I and Type II errors

Left: the four possible outcomes, with their confusion-matrix names. Right: where α, β and the power come from in a right-tailed test.



Trial: H0 = "innocent". Convicting an innocent person is a Type I error (a false positive).



Moving the critical value right shrinks α but grows β: the two errors trade off.

Left: the four combinations of decision and truth, each tagged with its confusion-matrix name (TP, TN, FP, FN). Right: if H_0 is true, the red tail beyond the critical value (α) is the chance of a false alarm. If H_0 is false, the orange area left of the critical value (β) is the chance of missing the effect, and the green area is the power.

3. Same Idea as Confusion Matrix (TP, TN, FP, FN)

The decision table is the same thing as a **confusion matrix** (used for medical tests and machine learning). Just treat:

- **Reject** H_0 as a **positive** result: the test raises an alarm, "something is going on".
- H_0 **false** as **actually positive**: the effect is really there.

	H_0 **true (actually negative)**	H_0 **false (actually positive)**
Reject H_0 (test says **positive**)	**False Positive (FP)** = Type I error	**True Positive (TP)** = correct (power)
Fail to reject H_0 (test says **negative**)	**True Negative (TN)** = correct	**False Negative (FN)** = Type II error

How to read the names: the second word (**Positive** / **Negative**) is what the test said. The first word (**True** / **False**) says whether the test was right.

Hypothesis-testing name	Confusion-matrix name	Rate
Type I error	False Positive (false alarm)	$\alpha = \frac{FP}{FP+TN}$, the **false positive rate**
Type II error	False Negative (missed detection)	$\beta = \frac{FN}{FN+TP}$, the **false negative rate**
Power	True Positive	$1-\beta = \frac{TP}{TP+FN}$, the **sensitivity** (also called **recall**)
Correctly keeping H_0	True Negative	$1-\alpha = \frac{TN}{TN+FP}$, the **specificity**

Medical test example. H_0: *the patient does not have the disease.* A positive test result = reject H_0.

- **False positive (Type I):** a healthy person is told they're sick.
- **False negative (Type II):** a sick person is told they're healthy.

> **Memory trick: the boy who cried wolf.** First the villagers believe him when there is no wolf: a **false positive** (Type I). Later they ignore him when the wolf is real: a **false negative** (Type II).

Note: in machine learning, the confusion matrix often puts the **actual** values in the rows and the **predicted** values in the columns, the opposite of the table above. The four names stay the same; only the layout flips.

4. How to Identify the Error Type?

1. Mark each scenario as a **good** decision or a **bad** decision (an error).
2. For each error, ask whether the facts make H_0 **true or false**:
   - H_0 true but rejected → **Type I** → False Positive
   - H_0 false but not rejected → **Type II** → False Negative

5. Example 1 - Is Jhon's car Safe?

H_0: *John's used car is safe to drive.*

Choice	Situation	Good or bad?	Error
A	Thinks the car is safe, but it is **not** safe	Bad (False)	H_0 false, not rejected → **Type II** — False Negative
B	Thinks the car is safe, and it **is** safe	Good (True)	— True Negative
C	Thinks it may not be safe, and it is **not** safe	Good (True)	— True Positive
D	Thinks it may not be safe, but it **is** safe	Bad (False)	H_0 true, rejected → **Type I** — False Positive

Which error is worse? The Type II error (A): he drives an unsafe car and could be badly hurt. The Type I error (D) only means he stays home unnecessarily. Type II error : False Negative

6. Example 2 - A Criminal Trial

H_0: *The defendant is innocent* (presumed innocent).

Choice	Situation	Good or bad?	Error
A	Jury says **guilty**, but he is **innocent**	Bad (False)	H_0 true, rejected → **Type I** — False Positive
B	Jury says guilty, and he is **not** innocent	Good (True)	— True Positive
C	Jury says **not guilty**, but he is **not** innocent	Bad (False)	H_0 false, not rejected → **Type II** — False Negative
D	Jury says not guilty, and he **is** innocent	Good (True)	— True Negative

Which error is worse? Usually the Type I error: an innocent person goes to prison. Letting a guilty person go free (Type II) is also bad, but courts are designed to avoid convicting the innocent. This is partly a judgment call. Type I error : False Positive

7. Key Takeaways

- Type I = **false alarm**: rejecting a true H_0, probability α.
- Type II = **missed detection**: failing to reject a false H_0, probability β.
- Power = $1 - \beta$, the probability of correctly rejecting a false H_0.
- Confusion-matrix names: Type I = **False Positive**, Type II = **False Negative**, power = **True Positive** rate (sensitivity), $1 - \alpha$ = **True Negative** rate (specificity).
- Which error is "worse" depends on the real-world consequences in context.

10.3 One Tailed and Two Tailed Tests

1. The Big Picture: How far is "too far"?

In Lesson 10.1 we wrote H_0 and H_a. In Lesson 10.2 we saw that we might make a wrong decision. This lesson answers the next question: **how far does the sample have to be from H_0 before we reject it?**

1. Start by pretending H_0 is true. If the true mean really is μ_0, sample means still bounce around it by random chance. When we convert the sample mean to a z-score (the **test statistic**, Lesson 10.4), those scores follow the standard normal curve, centered at 0.

2. Near the middle = normal. Far out in a tail = surprising. Most samples land close to 0. A z-score far out in a tail would be very rare **if H_0 were true**. So if we get one, we doubt H_0.

3. Draw a line: the critical value. We need a cutoff for "far enough". That cutoff is the **critical value**, and the tail area beyond it is the **rejection region**.

4. The tail area is α, your false-alarm risk. Even when H_0 is true, a sample lands in the rejection region α of the time (for example 5%). Those are exactly the Type I errors from Lesson 10.2. So **you choose α first**, and it sets where the line goes.

5. Which tail counts depends on H_a. Only results that point **toward H_a** count as evidence.

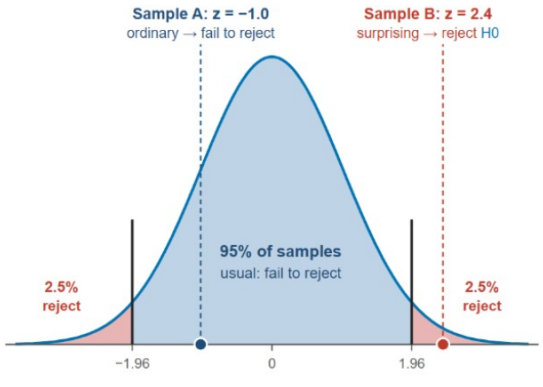
- Chip bags, $H_a: \mu < 100$ (bags are underfilled). A very **light** sample is evidence. A very heavy sample isn't evidence of underfilling, so only the **left** tail counts.
- $H_a: \mu \neq 100$ (just "different"). Too light **or** too heavy are both evidence, so **both** tails count. The total risk must still be α, so it is **split**: $\alpha/2$ in each tail.

Why the critical values differ. Splitting α pushes each line further out: ± 1.96 for two-tailed, versus 1.645 for one-tailed (both at $\alpha = 0.05$). So a one-tailed test rejects more easily in its chosen direction, but can't detect anything in the other direction.

How far is "too far"?

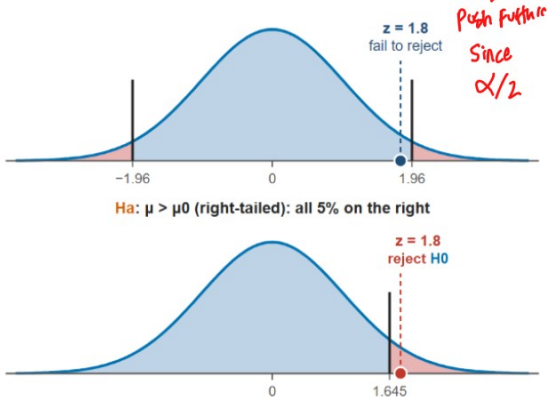
Pretend H0 is true, see where sample z-scores usually land, and draw the line where results become surprising.

1. If H0 is true, where do samples land?



Even when H0 is true, 5% of samples land in the red tails. Rejecting then is a Type I error. That 5% is α.

2. Splitting α moves the line out



Same sample: the one-tailed test rejects, the two-tailed test does not. So choose the tail from the question, before seeing the data.

Left: if H_0 is true, 95% of samples land in the middle. Sample A is ordinary, so we fail to reject. Sample B is out in a tail, so we reject. The red tails still catch 5% of samples even when H_0 is true: that's α, the Type I error rate. Right: the same sample $z = 1.8$ is not far enough for a two-tailed test (line at 1.96) but is far enough for a right-tailed test (line at 1.645).

> **Pick the direction before looking at the data.** It comes from the research question (the wording of H_a), not from which way the sample happened to go. Choosing the tail after seeing the data quietly doubles your real false-alarm risk.

Where this lesson fits in a full test:

1. Write H_0 and H_a (Lesson 10.1).
2. Choose α (often 0.05).
3. **Use the sign in H_a to pick the tail(s) and find the critical value(s).** ← this lesson
4. Compute the test statistic from the sample (Lesson 10.4).
5. Compare: in the rejection region → reject H_0. Otherwise → fail to reject H_0.

Where 1.96 and 1.645 come from. They are z-table lookups. For two-tailed at $\alpha = 0.05$, the area to the left of the cutoff is $1 - 0.025 = 0.975$, so $z = 1.96$. For one-tailed, it is $1 - 0.05 = 0.95$, so $z = 1.645$.

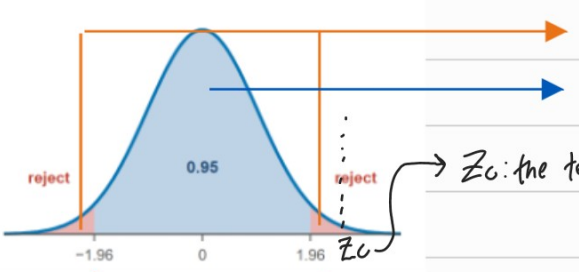
α	Two-tailed critical z	One-tailed critical z
0.10	± 1.645	1.28
0.05	± 1.96	1.645
0.01	± 2.576	2.33

(For a left-tailed test, the one-tailed value is negative: for example -1.645.)

2. Vocabulary

Term	Meaning
Rejection region	The shaded tail area(s). If the test statistic lands here, reject H_0
Fail-to-reject region	The unshaded middle. If the statistic lands here, keep H_0
Critical value(s)	The z (or t) value(s) separating the two regions
Confidence level c	The area of the fail-to-reject region
Significance level α	The total area of the rejection region: $\alpha = 1 - c$
Calculated value z_c	The **test statistic** computed from the sample (see Lesson 10.4)

Decision: if z_c falls in the rejection region (beyond the critical value), **reject** H_0. Otherwise, **fail to reject** H_0.



Rejection Region → Area: Significance level α

Fail to Reject Region → Area: Confidence level c

z_c: the test statistic computed from the sample

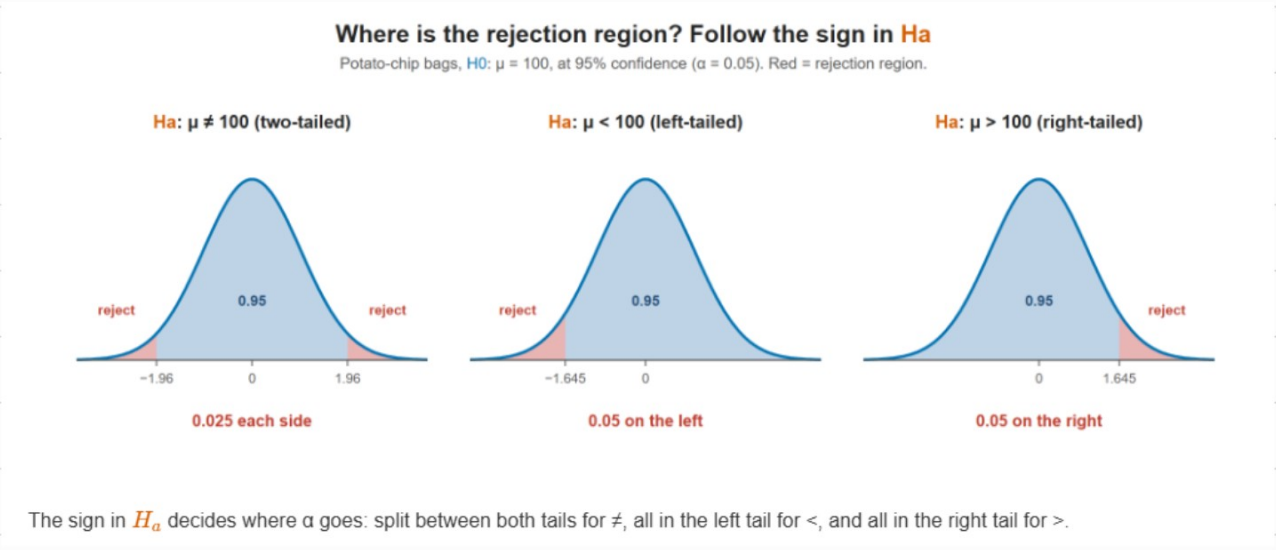
Critical Value: z/t Value Separating rejection and fail to reject region

3. Which Test? Read the Sign in H_a

H_a	Test	Rejection region	At 95% ($\alpha = 0.05$)
$\mu \neq \mu_0$	**Two-tailed**	Both tails, $\alpha/2$ each	0.025 in each tail, critical $z = \pm 1.96$
$\mu < \mu_0$	**Left-tailed**	Left tail only, area α	0.05 on the left, critical $z = -1.645$
$\mu > \mu_0$	**Right-tailed**	Right tail only, area α	0.05 on the right, critical $z = +1.645$

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Two-tailed:    ██|                |██    (α/2 each side)
Left-tailed:   ███|                     (α on the left)
Right-tailed:                     |███  (α on the right)
                    -z      mean    +z
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The **arrow** in H_a points to the tail: $<$ → left, $>$ → right, $\neq$ → both.

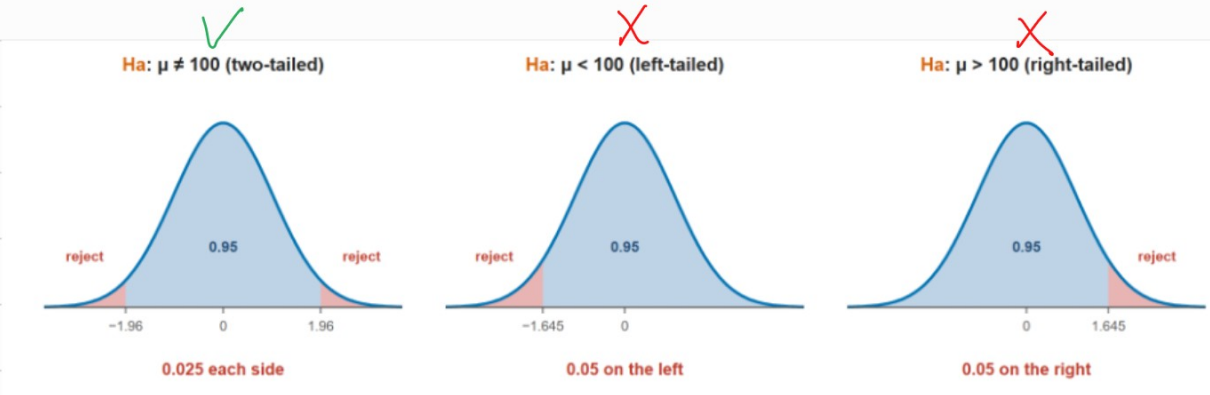


The sign in H_a decides where α goes: split between both tails for ≠, all in the left tail for <, and all in the right tail for >.

4. Example - Potato-Chip Bags

A company says its chip bags average **100 g**.

- An employee thinks the mean is **not** 100 g: $H_0 : \mu = 100$, $H_a : \mu \neq 100$ → **two-tailed**. At 95% confidence, $\alpha = 0.05$ is split into 0.025 per tail, and 0.95 is in the middle.
- If instead $H_a : \mu < 100$ → **left-tailed**, with all 0.05 in the left tail.
- If instead $H_a : \mu > 100$ → **right-tailed**, with all 0.05 in the right tail.



5. Key Takeaways

- $\alpha = 1 - c$ is the significance level, the size of the rejection region.
- $\neq$ → two tails (split α). $<$ → left tail. $>$ → right tail.
- Compare the calculated statistic with the critical value(s) to decide.

10.4 Test Statistics for Mean and Population Proportions

1. The Big Picture : Turning a Sample into one Number

In Lesson 10.3 we drew the line: the **critical value** (like ± 1.96) that separates "ordinary" from "surprising". This lesson answers the other half: **where does our sample land on that same scale?**

1. The problem: different units. Say $H_0 : \mu = 100$ g and our sample of chip bags averages $\bar{x} = 98$ g. We can't compare "98 grams" with "1.96" directly. They're on different scales. We need to convert the sample into a z-score (or t-score), the same scale as the critical value.

Convert X —to→ Z

2. The idea: count standard errors. The **test statistic** answers one question: *how many standard errors is the sample away from what H_0 claims?*

$$\text{test statistic} = \frac{\text{what we got} - \text{what } H_0 \text{ claims}}{\text{standard error}}$$

for two tails

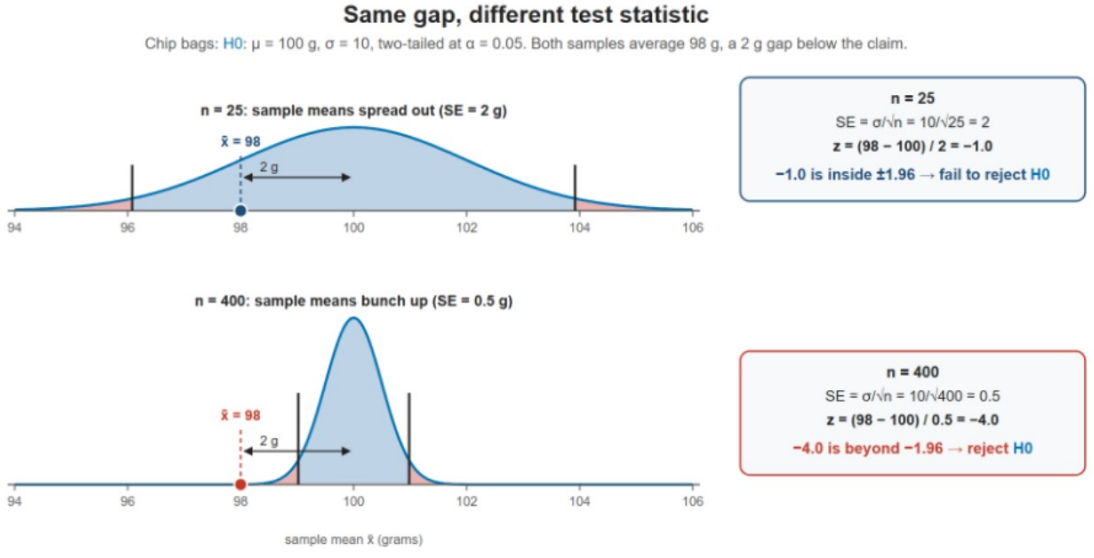
$$z = \frac{x - \mu}{SE} = \frac{x - \mu}{\sigma/\sqrt{n}} \quad (\mu \to H_0)$$

- The **top** is the gap: how far the sample is from the claim ($98 - 100 = -2$ g).
- The **bottom** is the **standard error (SE)**: how much sample results normally wobble by chance alone. For a mean, $SE = \sigma/\sqrt{n}$.

3. Why divide by the standard error? Because a 2 g gap can be ordinary or shocking, depending on how much sample means normally wobble.

- With $n = 25$ bags ($\sigma = 10$): $SE = 10/\sqrt{25} = 2$, so $z = -2/2 = -1.0$. That's a normal wobble → fail to reject.
- With $n = 400$ bags: $SE = 10/\sqrt{400} = 0.5$, so $z = -2/0.5 = -4.0$. That's way out in the tail → reject.

Same gap, different verdict. Bigger samples wobble less ($\sqrt{n}$ is in the denominator), so the same gap becomes more convincing.



Top: with 25 bags, sample means spread widely around 100, so 98 is well inside the fail-to-reject region. Bottom: with 400 bags, sample means bunch tightly around 100, so 98 is far beyond the critical value. The gap is 2 g in both cases.

4. Why use H_0's value in the formula? The test pretends H_0 is true (Lesson 10.3), so we measure the distance **from H_0's claim**. That's why μ (or p) in every formula below is the hypothesized value, not something from the sample.

$\mu = H_0$ → * Not something from the sample.

5. z or t? If you know the population σ, the statistic follows the normal curve: use **z**. If you have to estimate it with the sample's s, that estimate adds extra uncertainty, especially for small samples. The **t-distribution** accounts for this. It has fatter tails, so its critical values are a bit larger than z's.

* recall: - Z : when you know σ, $z = \frac{\bar{x} - \mu}{\sigma/\sqrt{n}}$

- t : when you only have s, $t = \frac{\bar{x} - \mu}{s/\sqrt{n}}$, $s = \sqrt{\frac{\sum_1^n (x_i - \bar{x})^2}{n-1}}$, $df = n - 1$

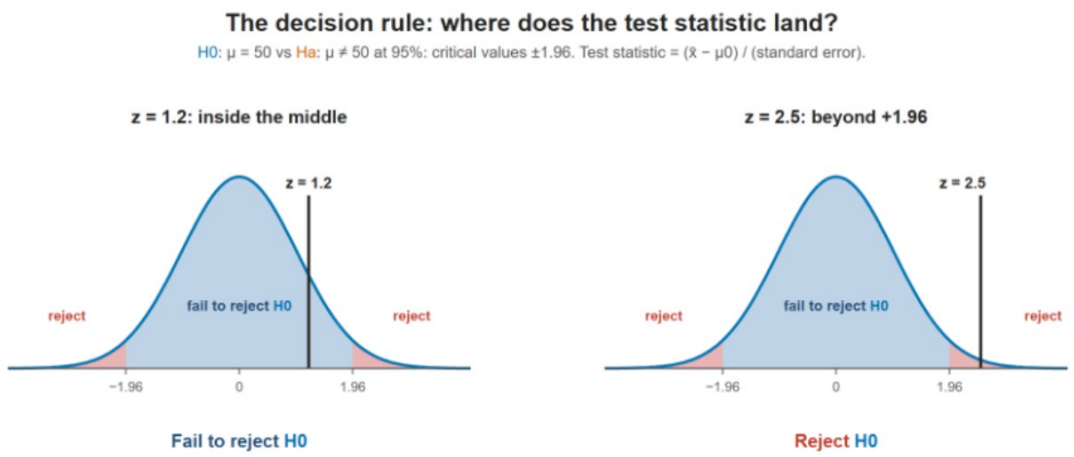
Which one to use	
Situation	Use
σ known	z
σ unknown, n < 30	t with df = n − 1
σ unknown, n > 30	z is fine (many textbooks still use t)
Proportions	always z

Proportions always use z because the standard error $\sqrt{p_0 q_0 / n}$ comes from H_0's p_0, which is a fixed number. There is no extra guessing step.

2. The Decision Rule

1. Find the **critical value(s)** from the significance level and the type of test. For a two-tailed test at 95%, ± 1.96.
2. Compute the **test statistic** z_c (or t) from the sample.
3. Statistic in the rejection region → **reject** H_0. Statistic in the fail-to-reject region → **fail to reject** H_0.

Example: $H_0 : \mu = 50$ vs $H_a : \mu \neq 50$ at 95% has critical values ± 1.96. A calculated z_c beyond 1.96 (or below −1.96) means reject.



Compute the test statistic, then see which region it lands in. Between −1.96 and 1.96, fail to reject H_0. Beyond either critical value, reject H_0.

3. Test Statistics for a Mean

Sample size	σ known?	Distribution	Test statistic
$n < 30$	**No** (only s)	**t**, df $= n - 1$	$t = \dfrac{\bar{x} - \mu}{s/\sqrt{n}}$
$n < 30$	Yes	z	$z = \dfrac{\bar{x} - \mu}{\sigma/\sqrt{n}}$
$n \geq 30$	No (use s)	z (approximately normal)	$z = \dfrac{\bar{x} - \mu}{s/\sqrt{n}}$
$n \geq 30$	Yes	z	$z = \dfrac{\bar{x} - \mu}{\sigma/\sqrt{n}}$

Here μ is the value claimed in H_0.

> Many textbooks use the t-distribution **whenever σ is unknown**, whatever the sample size. For $n \geq 30$, t and z give nearly the same answer, so the video's rule is a common shortcut.

4. Test Statistics for a Proportion

$$z = \frac{\hat{p} - p}{\sqrt{\dfrac{pq}{n}}}, \qquad q = 1 - p$$

- $\hat{p}$ = sample proportion (x/n)
- p = the proportion claimed in H_0 (sometimes written p_0). Use this hypothesized value under the square root, not $\hat{p}$.

5. Key Takeaways

- Test statistic = (sample value − hypothesized value) ÷ standard error = "how many standard errors from H_0".
- The same gap is more convincing with a bigger sample, because the standard error shrinks like $1/\sqrt{n}$.
- Mean: use t with s when $n < 30$ and σ is unknown. Otherwise use z.
- Proportion: $z = (\hat{p} - p)/\sqrt{pq/n}$, with p from H_0.
- Compare with the critical value(s) to reject or fail to reject H_0.

10.5 Hypothesis Testing Problem - Z test and T Statistics

1. Procedure (Critical-Value Method)

1. State H_0 (status quo, with the equality) and H_a (the claim being tested).
2. Decide on the tails from H_a: $\neq \rightarrow$ two-tailed, $< \rightarrow$ left, $> \rightarrow$ right.
3. Find the **critical value** from α (z-table, or t-table with df $= n - 1$).
4. Compute the **test statistic**: $\dfrac{\bar{x} - \mu_0}{s/\sqrt{n}}$, treated as z if $n \geq 30$ or as t if $n < 30$ and σ is unknown.
5. If the statistic is in the rejection region, **reject** H_0. Otherwise, **fail to reject** H_0.

2. Example 1 - Two-tailed Z-test (a bottling machine)

A machine is supposed to dispense **80 mL**. An employee thinks the mean is not 80 mL. A sample of **40** bottles has $\bar{x} = 78$ mL and $s = 2.5$ mL.

(a) Hypotheses

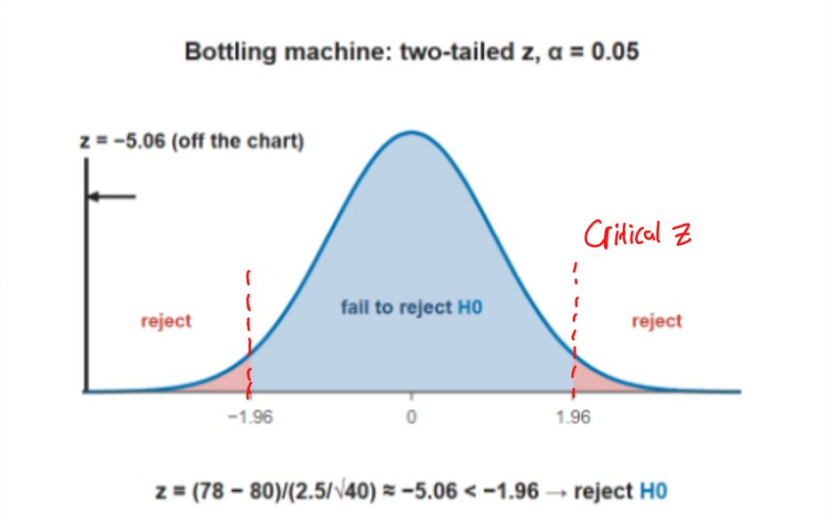
$$H_0 : \mu = 80 \qquad H_a : \mu \neq 80$$

(b) Is there evidence at 95% confidence that the machine is off?

- H_a uses $\neq$, so this is **two-tailed**: 0.025 in each tail, critical values $z = \pm 1.96$.
- $n = 40 \geq 30$, so use z (with s in place of σ). ← This is important note

$n = 40 \geq 30$ $s \approx \sigma$ $z = \dfrac{\bar{X} - M}{s/\sqrt{n}}$ $\qquad z = \dfrac{78 - 80}{2.5/\sqrt{40}} = \dfrac{-2}{0.39528} \approx -5.06$

$-5.06 < -1.96$, so the statistic is far into the left rejection region. **Reject** H_0. At the 5% significance level there is strong evidence that the machine does not dispense 80 mL on average.



Both worked examples. The bottling statistic (−5.06) is so extreme it lies off the chart. The battery test uses a t-distribution with 9 degrees of freedom, so its left critical value is −2.821, not a z value.

3. Example 2 - Left-Tailed t-test (Car batteries)

The company says its batteries last **2 or more years** on average. An engineer thinks it's less. A sample of **10** batteries has $\bar{x} = 1.8$ years and $s = 0.15$ years.

(a) Hypotheses

$$H_0 : \mu \geq 2 \qquad H_a : \mu < 2$$

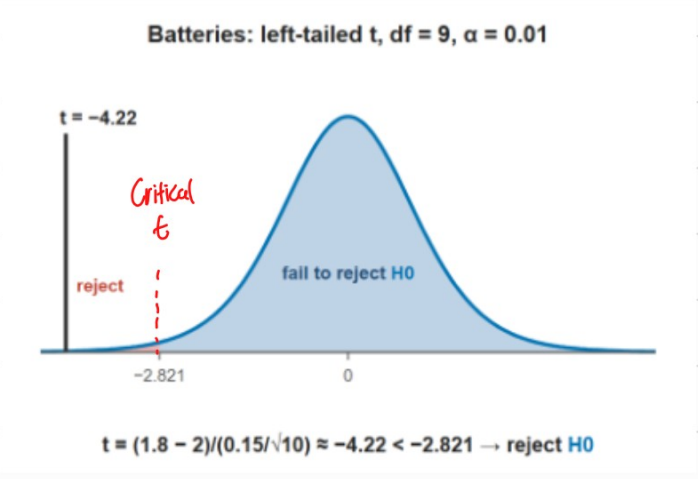
(b) Test at 99% confidence

- H_a uses $<$, so this is **left-tailed**, with $\alpha = 0.01$ entirely in the left tail.
- $n = 10 < 30$ and σ is unknown, so use the **t-distribution** with df $= 10 - 1 = 9$.
- One-tail t-table, df = 9, $\alpha = 0.01$: $t = 2.821$, so the critical value is -2.821 (left side).

$$t = \frac{1.8 - 2}{0.15/\sqrt{10}} = \frac{-0.2}{0.047434} \approx -4.22$$

$-4.22 < -2.821$, which is in the rejection region. **Reject H_0.** At the 1% significance level there is enough evidence that the mean battery life is less than 2 years.

> **Wording:** the video sometimes says "accept the null hypothesis". The standard phrasing is **"fail to reject H_0"**. Not rejecting doesn't prove H_0 is true.



4. Key Takeaways

- H_a decides the tails. n and whether σ is known decide z or t.
- Test statistic = (sample mean − hypothesized mean) ÷ (SD / √n).
- If the statistic is beyond the critical value, reject H_0. Otherwise, fail to reject H_0.
- A 95% (99%) "confidence level" in a test corresponds to $\alpha = 0.05$ (0.01).

10.6 P-Value Methods for Hypothesis Testing

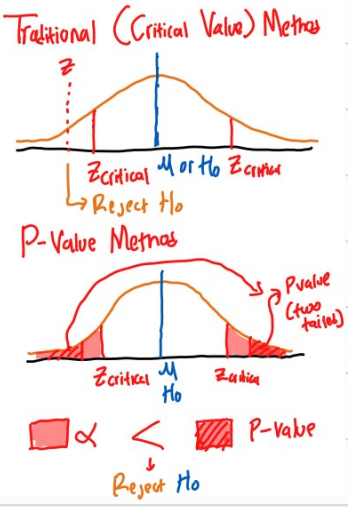
1. Two Ways to Make the Decision

	Traditional (critical-value) method	P-value method
Compare	calculated z **vs** critical z	**p-value vs** α
Reject H_0 when	z is in the rejection region	p-value $< \alpha$
Fail to reject when	z is in the fail-to-reject region	p-value $\geq \alpha$

Significance level: $\alpha = 1 - \text{confidence level}$.

p-value = the area in the tail(s) beyond the calculated test statistic:

Test	p-value
Left-tailed	area to the **left** of z
Right-tailed	area to the **right** of z
Two-tailed	**2 ×** the area in the tail beyond $



2. Example 1 - Two-tailed (town weights)

Town XYZ's mean weight is claimed to be **168 lb**. A nutritionist thinks it is different. A sample of **36** people has $\bar{x} = 169.5$ lb and $s = 3.9$ lb.

$H_0: \mu = 168$ lb $H_a: \mu \neq 168$ lb $n \geq 30$

(a)

$$H_0 : \mu = 168 \qquad H_a : \mu \neq 168$$

(b) Test at 95% confidence ($\alpha = 0.05$), two-tailed, $n \geq 30$ so use z:

$n \geq 30$, $s \approx \sigma$

$$z = \frac{\bar{x} - \mu_0}{s/\sqrt{n}} \qquad z = \frac{169.5 - 168}{3.9/\sqrt{36}} = \frac{1.5}{0.65} \approx 2.31$$

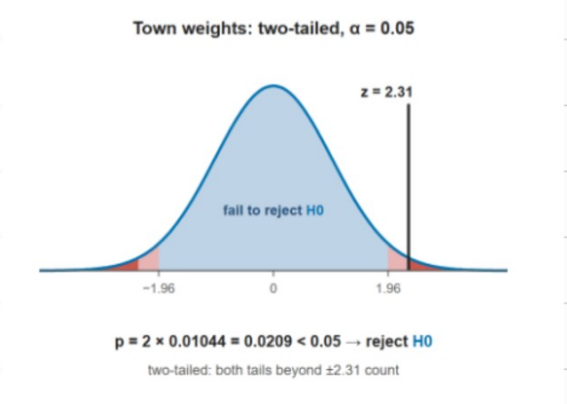
Traditional method: the critical values are ± 1.96 (left area 0.975). $2.31 > 1.96$, so it is in the rejection region → **reject** H_0.

$z > z_{critical}$

P-value method:

- The table gives a left area of 0.98956 for $z = 2.31$.
- Right tail: $1 - 0.98956 = 0.01044$.
- Two-tailed p-value: $2 \times 0.01044 = 0.02088$.

$0.02088 < 0.05$ → **reject** H_0. At the 5% level there is enough evidence that the mean weight is not 168 lb.



The p-value (dark red) is the tail area beyond the test statistic. For a two-tailed test, both tails count. In both examples the p-value is smaller than α (the light red region), so H_0 is rejected.

3. Example 2 - Left-Tailed (Car Warranty)

A factory gives a **5-year** warranty on the engine and transmission. An engineer believes failures happen **in less than 5 years**. A sample of **40** cars has $\bar{x} = 4.8$ years and $s = 0.5$ years.

(a)

$$H_0 : \mu \geq 5 \qquad H_a : \mu < 5$$

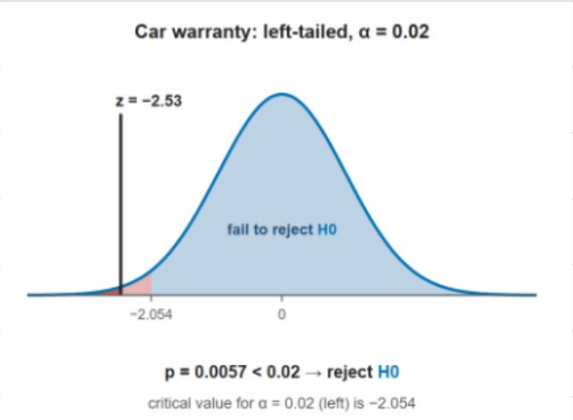
(b) Is there evidence at the 2% significance level ($\alpha = 0.02$, 98% confidence) to revise the warranty?

This is left-tailed (shade the left only), and $n = 40 \geq 30$ so use z:

$$z = \frac{4.8 - 5}{0.5/\sqrt{40}} = \frac{-0.2}{0.07906} \approx -2.53$$

The p-value is the area to the left of −2.53 = **0.0057**.

$0.0057 < 0.02 \rightarrow$ **reject** H_0. There is enough evidence that the mean time to failure is under 5 years, so the warranty should be revised.



The p-value (dark red) is the tail area beyond the test statistic. For a two-tailed test, both tails count. In both examples the p-value is smaller than α (the light red region), so H_0 is rejected.

4. Key Takeaways

- p-value = the probability, assuming H_0 is true, of a result at least as extreme as the one observed.
- **Small p-value (< α) → reject H_0.** Large p-value (≥ α) → fail to reject.
- For a two-tailed test, **double** the one-tail area.
- The p-value method and the critical-value method always give the same decision.

10.7 Hypothesis Testing - Solving Problem with Proportions

1. Formulas

Quantity	Formula
Sample proportion	$\hat{p} = \frac{x}{n}$
Hypothesized proportion (from H_0)	p_0, with $q_0 = 1 - p_0$
Test statistic	$z = \frac{\hat{p} - p_0}{\sqrt{\frac{p_0 q_0}{n}}}$

"Percent" in the problem means you are testing a **proportion** p, not a mean μ.

2. Example 1 - Two-tailed (Cell-Phone Ownership)

A tech company says **70%** of residents own a cell phone. A marketing manager thinks it is different. In a survey of **200**, **130** said yes.

H_0: $p_0 = 70\%$

$n = 200$, $x = 130$, $\hat{p} = \frac{x}{n}$

(a)

$$H_0 : p = 0.70 \qquad H_a : p \neq 0.70$$

(b) At 95% confidence, is there enough evidence to reject H_0?

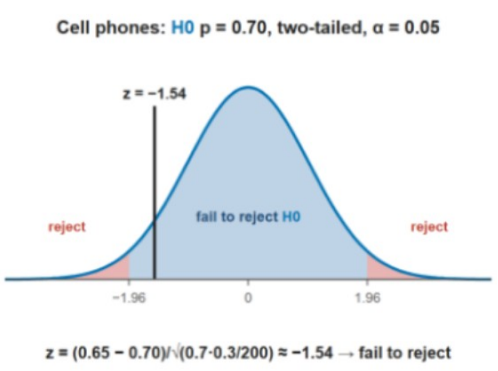
- $\hat{p} = \frac{130}{200} = 0.65,\ p_0 = 0.70,\ q_0 = 0.30$
- $\neq$, so two-tailed: 0.025 per tail, critical values ± 1.96

$$z = \frac{0.65 - 0.70}{\sqrt{\frac{0.70 \times 0.30}{200}}} = \frac{-0.05}{\sqrt{0.00105}} = \frac{-0.05}{0.0324} \approx -1.54$$

$-1.96 < -1.54 < 1.96$, which is in the fail-to-reject region. **Fail to reject H_0.** At the 5% level there is not enough evidence that the proportion differs from 70%.

Testing a proportion: z = (p̂ − p0) / √(p0q0/n)

Example 1 lands in the middle (fail to reject). Example 2 lands far in the right tail (reject).



z = (0.65 − 0.70)/√(0.7·0.3/200) ≈ −1.54 → fail to reject

3. Example 2 - Right-Tailed (Vehicle Ownership)

A car company says **60% or less** of residents own a vehicle. A sales manager disagrees. In a survey of **250**, **170** said yes.

(a)

$$H_0 : p \leq 0.60 \qquad H_a : p > 0.60$$

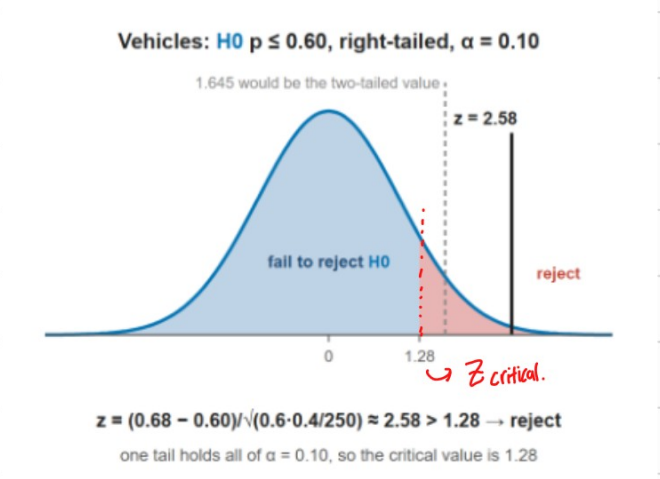
(b) At the 10% significance level, is there enough evidence?

- $\hat{p} = \dfrac{170}{250} = 0.68,\ p_0 = 0.60,\ q_0 = 0.40$
- $>$, so this is a **right-tailed** test with **all** of $\alpha = 0.10$ in the right tail.
- Critical value: the left area is $1 - 0.10 = 0.90$, which gives $z = 1.28$.

$$z = \frac{0.68 - 0.60}{\sqrt{\dfrac{0.60 \times 0.40}{250}}} = \frac{0.08}{\sqrt{0.00096}} = \frac{0.08}{0.03098} \approx 2.58$$

$2.58 > 1.28$, which is in the rejection region. **Reject H_0.** At the 10% level there is enough evidence that more than 60% of residents own a vehicle.

> **Correction to the video:** the video splits $\alpha = 0.10$ into 5% in each tail and uses a critical value of 1.645. That split is only for **two-tailed** tests. For this **right-tailed** test the whole 10% is in one tail, so the critical value is **1.28**. Here the conclusion is the same, because 2.58 exceeds both.



4. Key Takeaways

- Proportion test: $z = (\hat{p} - p_0)/\sqrt{p_0 q_0 / n}$, using the **null** value p_0 in the standard error.
- Two-tailed: split α between the tails. One-tailed: put all of α in one tail.
- Critical z values: two-tailed 10% → ±1.645, 5% → ±1.96. One-tailed 10% → 1.28, 5% → 1.645.